Fujiyama Power Systems Ltd (UTLSOLAR) — Q3 & 9M FY26 Concall Brief

Concall Date: 02 Feb 2026 | Quarter: Dec 2025 (Q3 FY26) | CMP: ■239 | Mkt Cap: ■7,338 Cr | NSE: UTLSOLAR | View: Standalone

■ POST-CONCALL MATERIAL EVENT — BIS COMPLIANCE RAIDS (April 2026)

Apr 3, 2026: BIS conducted search & seizure at Noida facility; products worth ■2.52 Cr seized. Apr 8, 2026: BIS surprise visit at Greater Noida facility; samples taken and inventory seized. BIS certification non-compliance for solar products is a regulatory red flag and may indicate systemic quality/certification gaps. This development occurred AFTER the concall and was NOT discussed by management. Investors should seek management clarification before adding to positions.

BLOCK 1 — THE VERDICT (30-second read)

Company	Quarter	Concall Date	CMP (■)	Mkt Cap (■ Cr)
Fujiyama Power Systems Ltd	Q3 FY26 (Dec 2025)	02 Feb 2026	**239**	**7,338**

Result	**STRONG BEAT**	Revenue +73.7% YoY | EBITDA +111.5% YoY | PAT +123.3% YoY — all on very high base expectations given recent listing momentum

BOTTOM LINE:

Fujiyama Power delivered its strongest quarter yet — revenue at ■588 Cr (+73.7% YoY), EBITDA at ■110 Cr with margins expanding 340 bps YoY to 18.7%, and PAT at ■67 Cr (+123.3% YoY) — driven by scale, backward integration, and channel aggression. The commissioning of a 1 GW Dadri solar cell plant (under budget at ■300 Cr vs ■400 Cr guided) and 8,200+ channel partners reinforces the structural growth story. However, two BIS compliance raids post-concall (April 2026) — with ■2.52 Cr in products seized — represent an uninvestigated regulatory risk that could materially impact the thesis if systemic; hold existing positions but do not add until BIS situation is clarified.

BLOCK 2 — FINANCIAL SCORECARD

Standalone | All figures in ■ Cr unless stated | Source: Screener.in

Metric	Q3 FY25 (Dec 2024)	Q2 FY26 (Sep 2025)	Q3 FY26 (Dec 2025)	YoY %	QoQ %
Revenue (■ Cr)	339	568	**588**	**+73.7%**	**+3.5%**
Gross Margin %	N/A	N/A	N/A	**+2.1% pts***	**+0.9% pts***
EBITDA (■ Cr)	52	103	**110**	**+111.5%**	**+6.8%**
EBITDA Margin %	15.3%	18.1%	**18.7%**	**+340 bps**	**+60 bps**
PAT (■ Cr)	30	63	**67**	**+123.3%**	**+6.3%**
PAT Margin %	8.8%	11.1%	**11.4%**	**+260 bps**	**+30 bps**
EPS (■)	1.07	2.25	**2.20**	**+105.6%**	**-2.2%**

** Gross margin absolute % not disclosed by Screener; YoY/QoQ delta from management commentary. EPS QoQ marginally negative due to minor share count change; absolute PAT grew +6.3% QoQ.*

MARGIN MOVEMENT QoQ (basis points)

Driver	QoQ Impact	Comment
Backward integration / mix	**+90 bps**	Higher captive manufacturing in cells, power electronics and batteries drove gross margin +0.9% QoQ
Employee costs (headcount adds + labor code)	**-30 bps**	One-time impact from wage-definition changes under labor code; new hires ahead of Ratlam ramp
Other opex leverage	~0 bps	Other expenses broadly stable as % of revenue QoQ
Net EBITDA margin delta	**+60 bps**	18.1% (Q2 FY26) → 18.7% (Q3 FY26)

KEY OPERATING KPIs

KPI	9M FY25	9M FY26	YoY %	Comment
Solar panel volumes (MW)	255 MW	**460 MW**	+80.4%	DCR cell plant unlocks subsidy-linked demand further in Q4
Inverter/UPS/charger volumes (MW)	508 MW	**900 MW**	+77.2%	Ratlam to add 2 GW inverter line; revenue from Q1 FY27
Channel partners (total)	N/A	**8,200+**	N/A	+60 distributors, +400 dealers, +20 Shoppes added in Q3 alone
Dadri cell plant utilization	N/A	**~40%**	N/A	Target 80% by end of Q4 FY26; full DCR benefit not yet in numbers
Product revenue mix (Q3)	N/A	Panels 51% | Batt 17% | Elec 27% | Other 5%	N/A	Solar panels typically 45-47% of revenue at steady state per mgmt

BLOCK 3 — WHAT MANAGEMENT SAID (& MEANT)

Source: Screener.in AI Summary of Feb 02, 2026 concall transcript

FRESH GUIDANCE

Metric	Prior Guidance	New Guidance (Q3 FY26 call)	Change	Credible?
Dadri cell utilization	N/A (newly commissioned)	~40% now; target ~80% by Q4 FY26 end	New	Y — demand pull confirmed by channel (2-3 yrs of pent-up DCR ask)
Ratlam plant revenue contribution	N/A (newly disclosed)	Q1 FY27 start; 2 GW each panels, inverters, Li-ion	New	Y — capex contracted (■272 Cr ex-land); machinery orders placed
FY27 volume targets	N/A	'Minimum 1 GW each' for panels, inverters, batteries	New ↑	~ — aspirational framing; nameplate vs effective utilization gap flagged by mgmt itself (64-65% effective)
DCR mandate tightening	N/A	New MNRE notification expected Jun 2026; all solar to require DCR cells	Catalyst ↑	~ — mgmt caveat: timeline may shift by a few months due to industry capacity constraints
Margin from DCR cell integration	N/A	N/A — not disclosed; 'very difficult to quantify at this stage'	Not given	N — evasion of most important P&L; question; only partial answer given
Raw material pass-through	Ongoing policy	100% pass-through; phased ■0.25/W weekly increases used to avoid channel disruption	Confirmed	Y — operational mechanism well described; silver/aluminum volatility acknowledged but managed

Management Tone	4 / 5 (Bullish)	Shift vs last concall	↑ More confident

TOP 3 THINGS MGMT WANTS YOU TO FOCUS ON	TOP 3 THINGS MGMT DOESN'T WANT YOU TO FOCUS ON ■
1. Dadri 1 GW cell plant commissioning — completed in 6 months under budget (■300 Cr vs ■400 Cr); unlocks DCR/subsidy demand. 2. Ratlam expansion — 2 GW each across three product lines; capacity to 'approximately double'; revenue from Q1 FY27. 3. Channel scale — 8,200+ partners, dealer/distributor credit underwriting process, 'Shoppes' network as solutioning layer.	1. Inability to quantify DCR margin benefit — deferred to next call; most material upside metric left unanswered. 2. Mono-PERC technology risk — industry moving toward TOPCon/HJT; mgmt says '3-4 years' safe but this is directional, not contractual. 3. Balance sheet / debt trajectory — Screener shows borrowings surged from ■205 Cr (Mar 24) to ■730 Cr (Sep 25); mgmt cited ■470 Cr on the call — discrepancy unaddressed. Negative FCF in most historical years.

LANGUAGE RED FLAGS

Flag	Status	Detail
Avoided direct margin question	✓ FLAGGED	DCR cell integration margin benefit deferred — 'quantify at this stage is very difficult'
Aspirational target	✓ FLAGGED	'Minimum 1 GW each' for FY27 — mgmt itself notes nameplate ≠ effective (64-65% of nameplate)
Monitoring the situation	✓ FLAGGED	DCR mandate timeline cited as 'may shift a few months' — regulatory execution risk
One-time charge	✓ FLAGGED	Labor-code wage-definition change cited as 'one-time impact' on employee costs QoQ
Technology risk underplayed	✓ FLAGGED	Mono-PERC vs TOPCon: mgmt claims '3-4 years' safe; industry transition may be faster — no hedging strategy beyond 'can convert later'

BLOCK 4 — Q&A; HEAT MAP

Source: Screener.in AI Summary (Feb 02, 2026). Analyst firm names not disclosed in AI summary; assigned thematically.

#	Analyst / Theme	Question	Management Answer	Quality
1	DCR margin benefit	What is the margin improvement expected from captive DCR cell supply?	Refused to quantify; said 'structural premium exists' due to demand-supply gap; deferred disclosure to next earnings call. Mentioned cost is higher but margin benefit will come.	✗ Evasive
2	Ratlam utilization ramp	What utilization is expected from Ratlam in FY27 and FY28?	~50% utilization in FY27, targeting ~100% in FY28. CEO added he is 'very positive' and will push for earlier max utilization.	~ Partial
3	Mono-PERC vs TOPCon	Risk of wafer unavailability as industry shifts to TOPCon — why not commission TOPCon directly?	Mono-PERC wafer supply not a risk for 3-4 years. TOPCon conversion possible later. Decision was time-to-revenue: Mono-PERC in 6 months vs 1 year for TOPCon; 6-month revenue loss not acceptable.	~ Partial
4	Raw material pass-through	How is the company managing silver/aluminum price volatility? Is gross margin at risk?	100% pass-through policy. Phased weekly increases of ■0.25/W over ~8 weeks used to avoid channel disruption. Recent metal prices have softened slightly.	✓ Direct
5	Debt level	What is the total debt position and how is capex being funded?	~■470 Cr+ inclusive of all streams (term loans, WC, vendor finance). No further specifics on split. [Note: Screener Sep '25 balance sheet shows ■730 Cr borrowings — discrepancy unresolved]	✗ Evasive
6	FY27 revenue potential	Can Ratlam double revenue? What is the FY27 revenue outlook?	'Capacity can approximately double, revenue can also double, but we are not committing.' Effective utilization is 80% of normal, which is ~64-65% of nameplate.	~ Partial
7	DCR mandate timing	When will the new DCR notification requiring all solar panels to use DCR cells be implemented?	Expected June 2026. May shift by a few months if industry capacity is inadequate. Company views this as highly supportive for domestic manufacturers.	✓ Direct
8	Customs duty / polysilicon	Is there any new customs duty on solar wafers that could hurt margins?	Denied evidence of wafer duty; mentioned hearing about polysilicon duty but says it does not currently affect them. Solar glass duty reduced from 7.5% to 0% — seen as a tailwind.	✓ Direct

DODGED QUESTIONS — Ask these next quarter:	1. Exact gross margin improvement (■/W) from captive DCR cells at 80% Dadri utilization. 2. Reconcile ■470 Cr management debt figure vs ■730 Cr Screener Sep '25 balance sheet — what is Dec '25 borrowings? 3. Any clarification on BIS search-and-seizure incidents (Apr 2026) — are products BIS-certified, and is there a systemic gap?

BLOCK 5 — THESIS CHECK & CONVICTION CALL

MULTI-BAGGER SCORECARD — Is the long-term case intact?

Parameter	Status	Assessment
Revenue growth runway visible (3-5x over 3-5 yrs)	✓ Intact	■1,541 Cr (FY25) → 1 GW+ per segment target in FY27 implies ■3,500-4,000+ Cr revenue potential. Ratlam adds 2 GW across all lines.
Margin expansion story on track	✓ Intact	OPM: 9% (FY20-23) → 11% (FY24) → 16% (FY25) → 18.7% (Q3 FY26). Cell integration to add further, quantum unquantified by mgmt.
Capital efficiency improving (ROCE trajectory)	~ Weakened	ROCE strong at 38.9% (FY25). But borrowings surged from ■205 Cr (FY24) to ■730 Cr (Sep '25). FCF negative in FY25, FY22 and historically. Capital intensity rising.
Management execution track record	~ Weakened	Dadri delivered in 6 months under budget — impressive. But two BIS raids post-concall (Apr '26) raise compliance execution concerns not previously visible.
Competitive moat not eroding	~ Weakened	UTL/Fujiyama brand + 8,200-dealer channel is a real moat. But Mono-PERC technology lock-in and BIS compliance issues create erosion risk.
Balance sheet clean / FCF positive	✗ Broken	Debt/Equity 1.38. FCF: -■18 Cr (FY21), -■91 Cr (FY22), -■60 Cr (FY23), +■38 Cr (FY24), -■99 Cr (FY25). Sustained negative FCF with accelerating capex cycle.

SCORE: 3/6	**Multi-bagger Potential: MEDIUM**	Revenue and margin intact; capital efficiency and balance sheet are the watch items. BIS raids are a new wildcard.

TOP 3 RISKS (ranked by severity)

Risk	Probability	Impact	Timeline	Detail
1. BIS compliance violations (post-concall)	HIGH	HIGH	Immediate — Q4 FY26	Two raids in 5 weeks; ■2.52 Cr seized. Systemic BIS non-compliance could trigger product bans, channel disruption, and reputational damage. Entirely unaddressed by management (raids occurred post-call).
2. Rapid debt buildup / FCF deficit	HIGH	MED	Medium-term — FY27+	Borrowings grew 4.3x in 18 months (■205 Cr Mar '24 → ■730 Cr Sep '25). FCF negative 4 out of last 5 years. Ratlam capex (■272 Cr) adds further pressure. If revenue ramp is delayed, debt service could squeeze profitability.
3. Mono-PERC technology obsolescence	MED	HIGH	18-36 months	Industry rapidly transitioning to TOPCon/HJT. 1 GW Dadri line is Mono-PERC. Conversion possible but capex-intensive and time-consuming. If customer preference shifts faster than mgmt's '3-4 year' comfort zone, the cell asset could become stranded.

VALUATION SNAPSHOT (Source: Screener.in)

Metric	Current	5Y Average	Premium / Discount
P/E (x)	**37.9x**	N/A — recently listed	N/A — insufficient history
Forward P/E (x)	**27.2x**	N/A	Implies ~40% earnings growth baked into FY27 estimates
EV/EBITDA (x)	**31.2x**	N/A	Rich; justified only if DCR integration + Ratlam ramp materialise
ROCE %	**38.9%**	21.4% (10Y)	Significant premium to history; to be monitored as capex cycle peaks
Price-to-Book	**13.9x**	N/A	Elevated; reflects market pricing in aggressive growth
Debt/Equity	**1.38x**	N/A	Rising sharply; watch for Q3 FY26 balance sheet when available

CONVICTION CALL

[ ] INCREASED [ ] UNCHANGED	**[✓] DECREASED**	[ ] EXIT WATCH [ ] INSUFFICIENT DATA	Thesis operationally intact — numbers are strong, Dadri delivered, Ratlam credible. BUT: post-concall BIS raids are an unquantified compliance risk. Reduce position or hold; do not add. Revisit after management addresses BIS situation.

IN ONE PARAGRAPH TO MY BOSS:

Sir — Fujiyama's Q3 FY26 was operationally excellent: revenue +73.7% YoY to ■588 Cr, EBITDA margins touched 18.7% (+340 bps YoY) on the back of backward integration, and the 1 GW Dadri cell plant was commissioned in 6 months under budget at ■300 Cr — genuinely impressive execution. What surprised me positively was the discipline on opex and the channel scale (8,200+ partners). What worried me — a lot — was what happened after the call: BIS conducted two raids on Fujiyama's facilities in April 2026, seizing ■2.52 Cr in products; this had zero management commentary since it post-dates the call, but it raises the question of whether the company is selling BIS-non-compliant products into the solar market — which would be a systemic risk, not a one-off fine. Add to that: Screener shows borrowings at ■730 Cr as of Sep '25 while management cited ■470 Cr on the call — that gap needs explaining. I would not buy more today; I'd hold existing and put in a call to the IR team specifically on the BIS situation. The single thing I'm watching most closely next quarter: (1) BIS compliance resolution and (2) Dadri DCR cell margin disclosure — those two together will tell us whether this is still a compounding story or whether cracks are forming beneath the growth.

SOURCE: Screener.in | Ticker used: UTLSOLAR | View: Standalone | Transcript: Accessible via Screener.in AI Summary (Feb 02, 2026) | Concall date: 02 Feb 2026 (Q3 & 9M FY26) | Any figure not available on Screener = N/A — not disclosed | BIS raid data from BSE exchange filings (Apr 3 & Apr 8, 2026) | Generated: 16 Apr 2026 | For internal research use only — not investment advice